

**Calendar line 1**

**Case Name: *Estate of Frank Sanchez***

**Case No.: 16PR178756**

**INTRODUCTION**

Prior to his death, Frank Sanchez (“Decedent”) and his surviving spouse, Caroline Sanchez (“Caroline”),<sup>1</sup> owned real property located at 2794 Eulalie Drive in San Jose, California (the “Eulalie Property”) as joint tenants with a right of survivorship. In 2015, Decedent signed a quitclaim deed severing the joint tenancy, resulting in Decedent and Caroline owning the property as tenants in common. In 2017, after Decedent’s death, Caroline filed a civil complaint in docket 17CV308535 for cancellation of the quitclaim deed. The court ultimately denied the request to cancel the quitclaim deed. In 2019, Caroline quitclaimed her interest in the Eulalie Property to herself as trustee of the Caroline Sanchez Trust (“Trust”).

In 2016, Leslie Ann Peralta (“Petitioner”), Decedent’s daughter, filed a petition for probate of will and for letters of administration for his estate. On January 30, 2026, after nearly a decade of litigation and administration of the estate, Petitioner filed her fifth amended petition for final distribution of Decedent’s estate (“Petition”). James Larios (“Objector”), Caroline’s son and co-trustee of the Caroline Sanchez Trust,<sup>2</sup> objected to the Petition, asserting that it is seeking to remove assets from the Caroline Sanchez Trust under the guise of a petition for final distribution in Decedent’s estate case. Objector contends that approximately \$800,000 currently held in a blocked account after the sale of the Eulalie Property belongs to Decedent’s estate and the Trust in equal shares but the Petition proposes that only \$111,764.58 be distributed to the Trust as a result of various disputed claims Petitioner makes against the Trust and includes in the final distribution. In short, it is Objector’s contention that Decedent’s estate owns one-half of the amount in the blocked account, or approximately \$400,000, while the other half belongs to the Trust and is not subject to distribution through this probate proceeding.

Currently before the court is Objector’s motion for judgment on the pleadings filed April 1, 2026, targeting the Petition.<sup>3</sup> Petitioner filed an opposition on April 27, 2026 and Objector filed a reply on April 29, 2026.

**DISCUSSION**

**I. Objector’s Request for Judicial Notice**

Objector requests judicial notice of (1) the statement of decision and judgment filed June 18, 2018 in docket 17CV308535, (2) the quitclaim deed recorded March 20, 2019 as document no. 24138831 transferring Caroline’s interest in the Eulalia Property to the Trust,

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<sup>1</sup> Because some of the individuals involved in this case share the same last name, the court will refer to them by their first names. No disrespect is intended.

<sup>2</sup> Caroline passed away in 2023.

<sup>3</sup> On April 1, 2026, Objector also filed a petition under Probate Code section 850 for an order confirming the Trust’s one half ownership of the proceeds in the blocked account.

and (3) the order of the probate court in the instant case filed June 7, 2024 for placement of the proceeds of the Eulalia Property into the blocked account.

Although Objector requests judicial notice of the statement of decision filed June 18, 2018, he has attached to his request for judicial notice, the proposed statement of decision filed May 21, 2018. Petitioner objected to the proposed statement of decision and the court filed its statement of decision and judgment after considering that objection. Accordingly, the court will take judicial notice of the June 18, 2018 statement of decision and judgment as it appears on the court's online case management system in docket 17CV308535 and disregard the proposed statement of decision attached to Objector's request for judicial notice. (Evid. Code, § 452, subd. (d).)

The court GRANTS judicial notice of the remaining items. (Evid. Code, § 452, subd. (d)) *Evans v. California Trailer Court, Inc.* (1994) 28 Cal.App.4th 540, 549 [court may take judicial notice of recorded deeds].)

## **II. Legal Background**

A motion for judgment on the pleadings brought by a respondent or objector may be granted where either “[t]he court has no jurisdiction of the subject of the cause of action alleged in the complaint” or “[t]he complaint does not state facts sufficient to constitute a cause of action against that defendant.” (Code Civ. Proc., § 438, subd. (c)(1)(B).) The motion may be directed to the entire complaint or any cause of action therein. (Code Civ. Proc., § 438, subd. (c)(2)(A).) The grounds for the motion “shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 438, subd. (d).) In ruling on a motion for judgment on the pleadings, “[t]he trial court must accept as true all material facts properly pleaded, but does not consider conclusions of law or fact, opinions, speculation, or allegations contrary to law or facts that are judicially noticed.” (*Stevenson Real Estate Services, Inc. v. CB Richard Ellis Real Estate Services, Inc.* (2006) 138 Cal.App.4th 1215, 1219-1220.) A motion for judgment on the pleadings may be granted with or without leave to amend. (See *Virginia G. v. ABC Unified School Dist.* (1993) 15 Cal.App.4th 1848, 1852.)

## **III. Merits of the Motion**

Objector asserts that he is entitled to judgment on the pleadings as to the Petition because the Petition itself establishes that the Trust owns 50% of the proceeds in the blocked account and Decedent's estate owns the other half. Objector further contends that a petition for final distribution is not an appropriate pleading for adjudicating the approximately \$307,000 worth of disputed claims Decedent's estate may have against the Trust.

In opposition, Petitioner asserts that Decedent's estate claims reimbursement for Decedent's separate-property contributions, the rental value owed for Caroline's occupancy of the Eulalie Property after Decedent's death, and some “reverse-mortgage obligations

discharged from estate related funds.” (See Opposition, pp. 1:27-2:2.)<sup>4</sup> She maintains that the court did not adjudicate these issues in the statement of decision and judgment in docket 17CV308535 and, therefore, those issues remain ripe for adjudication via the Petition filed in the instant case. She further maintains that the Petition does not seek to recharacterize the proceeds in the blocked account as 100% estate property. Instead, she contends, “[i]t proposes that the Trust’s net distributable share is below its 50% gross baseline, with the resulting difference properly distributed to the Estate. This is a standard form of co-ownership accounting. The 50/50 baseline reflects the gross ownership split. The net distributable amounts reflect that baseline after adjustments.” (Opposition, pp. 2:27-3:3.)

Ultimately, the court agrees with Objector that the question of whether the claims Decedent’s estate may have against the Trust must be adjudicated separately from the Petition. As Objector asserts, a Probate Code section 850 petition may be available but the Probate Code also provides for creditor’s claims against an estate (Prob. Code, § 9000, et seq.) and creditor’s claims against a trust (Prob. Code, § 19000, et seq.) As Objector points out, Probate Code section 10553, subdivision (a) also provides, “The personal representative has the power to do all of the following: . . . [c]ommence and maintain actions and proceedings for the benefit of the estate.”

Petitioner contends that Probate Code section 11640 not only authorizes but requires the court to make the determinations regarding the estate’s claims against the Trust. That section provides:

- (a) When all debts have been paid or adequately provided for, or if the estate is insolvent, and the estate is in a condition to be closed, the personal representative shall file a petition for, and the court shall make, an order for final distribution of the estate.
- (b) The court shall hear and determine and resolve in the order all questions arising under Section 21135 (ademption by satisfaction) or Section 6409 (advancements).
- (c) If debts remain unpaid or not adequately provided for or if, for other reasons, the estate is not in a condition to be closed, the administration may continue for a reasonable time, subject to Chapter 1 (commencing with Section 12200) of Part 11 (time for closing estate).

(Prob. Code, § 11640.) But, Probate Code section 11640 contains no provision for determining disputed claims that the estate is owed funds from another entity, such as the Trust. (Compare with Prob. Code, § 850, subd. (a)(2)(D) [authorizing the personal representative to file a petition “[w]here the decedent died having a claim to real or personal property, title to or possession of which is held by another.”].)

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<sup>4</sup> These “offsets” include an \$80,000 reimbursement under Family Code section 2640 for separate property contributions Decedent is alleged to have made to the Eulalie Property, \$152,000 in rent Caroline allegedly owes because she lived alone in the Eulalie Property rent-free after forcing Decedent out of the property, \$48,694 for a reverse-mortgage Caroline allegedly took out on the Eulalie Property alone, and \$26,830.25 for a cost award Caroline owed following the June 18, 2018 judgment.

The purpose of a final distribution order is to determine the rights of beneficiaries and creditors to distributions from the estate. (*Estate of Kampen* (2011) 201 Cal.App.4th 971, 987 [“A final order of distribution operates in rem to settle the testate and intestate rights to distribution of all those who either did or could have participated as claimants. (See Prob. Code, § 11705, subd. (b).)”].) “The distribution order settles all claims involving all the assets in the estate[.]” (*Id.* at p. 987.) Here, half of the funds in the blocked account belong to the Trust and not the estate. Thus, they cannot be included in the petition for final distribution. Instead, to the extent the estate seeks return of funds belonging to the Trust, the right to the funds must be adjudicated pursuant to a noticed petition whereby discovery can be had and evidence regarding the disputed claims can be presented to the court.

The motion is GRANTED. As to leave to amend, Petitioner contends that she can amend to “(1) restructure the distribution table to clearly separate the gross baseline calculation from the offset accounting; (2) incorporate supporting allegations regarding the factual predicate for each offset, including the reverse-mortgage draws, the occupancy period, and the separate-property contribution history documented in the June 2018 Judgment, and (4) address any procedural mechanisms the Court requires for adjudicating each item.” (Opposition, p. 4:18-23.) Objector requests that, should the court be inclined to grant leave to amend, the court should order “any amended petition must be limited to the Estate-owned one-half, and any claims against the Trust’s one-half must be brought in a separate, procedurally proper proceeding.” (Reply, p. 2:18-21.) The court finds that including the Trust’s half of the funds in the blocked account in the petition for final distribution was improper. Accordingly, the court will grant leave to amend as follows: Petitioner may amend the petition for final distribution to remove the Trust’s half of the funds in the blocked account as an asset and to remove all claims the estate may have to those funds. Petitioner may also file any appropriate petition to seek reimbursement of funds from the Trust.

## **CONCLUSION**

The motion is GRANTED WITH LEAVE TO AMEND as discussed above.